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The Costs of Patronage: Evidence from the British Empire

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1 Big picture

- **Question.** How does **patronage** affect the allocation and performance of senior bureaucrats? Does appointing socially connected officials distort promotions and weaken incentives?
- **Setting.** The paper studies the **Colonial Office of the British Empire** from **1854–1966**, focusing on the universe of **456 colonial governors** across **70 colonies**. Governors were appointed by the **Secretary of State for the Colonies** and exercised substantial executive, legislative, and fiscal authority.
- **Core challenge.** Connections may correlate with unobserved ability, family background, or elite status. So the paper needs variation that changes a governor's connectedness *without* simply comparing different kinds of people.
- **Main empirical idea.** The paper combines two sources of variation:
 1. turnover of secretaries of state in London, which changes whether a given governor is socially connected to his superior; and
 2. the **1930 Warren Fisher Reform**, which replaced discretionary patronage appointments with oversight by an independent appointments board.

These two margins allow the paper to compare the same governor when connected versus unconnected, and then ask whether these effects disappear after patronage is curtailed.

- **Why it matters.** State capacity depends not only on who enters the bureaucracy but also on how promotions shape incentives. If favoritism promotes insiders regardless of performance, patronage may distort public sector allocation and weaken effort.
- **Main empirical findings.**
 - During the patronage era, the same governor earns about **10% higher salary** when connected to the secretary of state.
 - This salary premium comes almost entirely from **promotion to higher-paid colonies**, not from paying more within the same colony.
 - The same governor in the same colony generates about **4% less annual revenue** when connected.
 - The decline is driven mainly by **lower customs revenue**, accompanied by **lower spending on revenue services and public works**.
 - Connected governors are more likely to grant **trade tax exemptions** and are associated with more signs of poor performance in newspapers, parliamentary debates, and honors data.
 - Both the promotion premium and the performance gap disappear after the **Warren Fisher Reform**.
- **Economic takeaway.** Patronage appears to do two things at once: it reallocates top public jobs toward connected officials and reduces those officials' incentives to perform once allocated. The paper therefore highlights an efficiency cost of discretionary appointments, not just a fairness concern.

2 Data and measurement (key objects)

2.1 Data sources and sample

- **Personnel and salary data.** The paper digitizes the *Colonial Office Lists* (1860–1966), which record postings, backgrounds, and salaries of governors.
- **Public finance and colony statistics.** The main fiscal source is the *Colonial Blue Books* (1821–1949), annual administrative reports with revenue, expenditure, population, trade, education, prices, and other colony statistics. The author digitizes **3,905 volumes** and extends later years with colony-specific statistical yearbooks.
- **Biographical data.** Elite background information comes from *DeBrett's* and the *UK Who's Who*.
- **Genealogical data.** Family ties are measured using *The Peerage*, a genealogical database mapping European elite family trees.
- **Sample coverage.** The final dataset covers **1854–1966**, effectively the full life of the Colonial Office, and includes **456 governors** and **70 colonies**.

2.2 Governors, positions, and colonies

- **Unit of observation.** Most of the empirical work uses the **governor-year**. Some specifications instead use the **governor-colony-year** to compare the same governor in the same posting over time.
- **Governorships as positions.** Salaries are mostly fixed by colony, so a rise in salary usually means promotion to a **different governorship**, not a within-position pay raise.
- **Colony outcomes.** The paper focuses on total revenue, customs revenue, internal revenue, expenditures, tax exemptions, social unrest, parliamentary attention, and top honors.
- **Why governors matter.** Governors were the administrative leaders of colonies. They controlled public finance, legislation, appointments, security, and many aspects of local administration.

2.3 Key descriptive objects

- About **8.5%** of governors are members of the peerage.
- About **84.6%** had served as civil servants before their first governorship.
- About **44%** had military backgrounds, and about **8.7%** had held political office before entering the Colonial Office.
- About **10.9%** attended Eton, **17.8%** attended Oxford, and **15.0%** attended Cambridge.
- Average age at first governorship is about **48.7 years**.
- Governors serve on average about **8.3 years** and in about **1.8 colonies** before retiring.
- Trade taxes account for roughly **one-half of total colonial revenue** over the sample.

- Governor salaries vary a lot across colonies, and roughly **76%** of salary variation is explained by colony size, especially revenue and population.

2.4 Measuring social connections

The paper builds a combined **Connected** dummy from four predetermined proxies:

1. **Shared ancestry**: governor and secretary of state are sufficiently close in elite family trees.
 2. **Both aristocrats**: both belong to the British peerage.
 3. **Both Eton**: both attended Eton.
 4. **Both Oxbridge**: both attended Oxford or both attended Cambridge.
- The family-tree measure is based on blood relations only and uses a cutoff of **16 degrees of separation** to maximize usable within-governor variation.
 - The paper emphasizes that these are **predetermined proxies** for unobserved social ties, chosen specifically to reduce concerns that connectedness is itself created endogenously by current promotions.
 - The overall share of connected governors is fairly stable over time, with declining family ties partly offset by rising schooling ties.

2.5 Institutional environment and natural experiment

- **Patronage period**. Between **1854 and 1930**, the secretary of state had broad discretion over appointing governors.
- **Turnover in London**. Secretaries of state changed because of cabinet reshuffles and electoral turnover. The average tenure of a secretary of state was about **3 years**.
- **Warren Fisher Reform (1930)**. The reform replaced the private secretary's appointment system with the **Colonial Service Appointments Board**, which sharply curtailed discretion and formalized recruitment.

Interpretation. The paper's key natural experiment is not one event but the interaction of two institutional facts: secretary turnover generates shocks to connections, and the 1930 reform changes the extent to which those connections should matter.

3 Models and empirical specifications (all equations + interpretation)

This paper is not a structural model of production or dynamic optimization. Its technical core is a sequence of reduced-form panel regressions designed to isolate the effect of patronage through changes in connectedness.

3.1 Salary premium of social connections

For governor i in colony s at time t , the core salary specification is

$$\log w_{ist} = \beta c_{it} + \theta_i + x'_{it}\gamma + \tau_t + \varepsilon_{ist}, \quad (1)$$

where:

- w_{ist} is the governor's salary,
- $c_{it} \in \{0, 1\}$ indicates whether the governor is connected to the secretary of state in office,
- θ_i are governor fixed effects,
- x_{it} includes time-varying controls such as number of colonies served and tenure dummies,
- τ_t are year fixed effects.

Interpretation.

- Governor fixed effects make the identifying variation come from **within-governor changes** in connectedness.
- Year fixed effects absorb common shocks across all colonies.
- The coefficient β is therefore read as: how much more the same governor is paid when he happens to be connected to the current secretary of state.

3.2 Difference-in-differences around the Warren Fisher Reform

To test whether patronage mattered only when appointments were discretionary, the paper estimates:

$$\log w_{ist} = \beta_0 c_{it} + \beta_1 (c_{it} \times \mathbf{1}[t \geq 1930]) + x'_{it}\gamma + \theta_i + \tau_t + \varepsilon_{ist}. \quad (2)$$

Interpretation.

- β_0 is the connection premium before 1930.
- β_1 measures how that premium changes after the reform.
- If the reform successfully removed patronage, then the post-1930 premium should be close to zero, i.e.

$$\beta_0 + \beta_1 \approx 0.$$

The paper also interacts connectedness with linear trends, governor characteristics, and colony characteristics to show that the result is not driven by gradual compositional change.

3.3 Allocation versus within-position pay

To distinguish promotion from within-colony favoritism, the paper re-estimates the salary equation with **colony fixed effects**. If the coefficient on connectedness disappears once colony is held fixed, then the salary premium reflects reallocation to better posts rather than more pay in the same post.

Interpretation.

- Baseline salary premium: connected governors get paid more.
- With colony fixed effects: almost no effect.
- Therefore, patronage works mainly by **assignment to more desirable governorships**.

3.4 Performance specification

For performance outcome y_{ist} , the main specification is

$$y_{ist} = \beta c_{it} + \gamma' x_{it} + \nu_{is} + \tau_t + \varepsilon_{ist}, \quad (3)$$

where:

- y_{ist} is a colony outcome such as log revenue or log expenditure,
- ν_{is} are **governor-colony fixed effects**,
- the remaining terms are defined as above.

Interpretation.

- This is stronger than the salary regression because it compares the **same governor in the same colony** when connected versus unconnected.
- That removes concern that better governors are systematically placed into better colonies.
- The coefficient is interpreted as an **incentive effect**: does being connected weaken performance once the job has already been assigned?

3.5 Event-study logic

The paper also uses lead-lag event-study graphs around the year a governor becomes connected. The basic idea is to estimate differences in outcomes before and after the connection shock while checking that there are no anticipatory pre-trends.

Interpretation.

- No pre-trend strengthens the interpretation that outcomes worsen *after* the connection shock.
- A persistent post-shock decline is consistent with reduced effort or softer discipline for favored governors.

3.6 Why revenue is the key performance measure

Revenue is the paper's main outcome because colonies operated under a **revenue imperative**: they were expected to finance themselves. Higher revenue therefore signaled stronger fiscal capacity and better administrative performance.

The paper then decomposes total revenue into:

- **customs/trade revenue**,
- **internal revenue** (licenses, direct taxes, land revenue, hut or income taxes).

It also decomposes spending into:

- **overall expenditure,**
- **tax/revenue service expenditure,**
- **public works expenditure.**

Interpretation. If connected governors cut customs revenue and also cut spending on revenue collection and public works, the paper can move beyond a generic “performance falls” statement and pin down a more specific fiscal mechanism.

4 Identification and instruments (what makes the estimates credible)

4.1 What identifies the effect of patronage

- **Within-governor variation.** Secretary turnover changes whether an incumbent governor is connected to the boss in London.
- **Within-governor-colony variation.** Once a governor is assigned to a colony, changes in connectedness within the same appointment identify incentive effects rather than selection effects.
- **Institutional break in 1930.** The Warren Fisher Reform reduces discretionary appointment power, so connection effects should weaken or disappear if they are truly patronage-based.

4.2 Why connectedness can be treated as predetermined

- The paper measures connectedness using ancestry, aristocracy, and elite schooling rather than contemporary lobbying or friendship data.
- These ties are largely fixed before careers unfold.
- The turnover of secretaries of state then generates time variation in whether those predetermined links matter.

4.3 Main threats and the paper’s response

Threat 1: better governors are more connected.

- Response: governor fixed effects purge time-invariant ability differences.

Threat 2: connected governors are placed in better colonies.

- Response: performance regressions include governor-colony fixed effects, so identification is within the same appointment.

Threat 3: the post-1930 break reflects something else, such as the Great Depression or broader administrative change.

- Response: the paper controls for time trends, interacts connectedness with observable governor and colony characteristics, restricts to colonies observed both before and after 1930, and checks robustness excluding the Great Depression and World War II years.

Threat 4: selective exit from office biases the performance estimates.

- Response: the probability of exit does not vary systematically with connectedness, and bounding exercises suggest the performance gap is not driven by selective attrition.

4.4 What the design cannot identify

The paper is strongest on the **incentive margin**. It shows that the same connected governor performs worse. It is less able to separately identify whether patronage also affects **selection** into the bureaucracy or matching between types of governors and types of colonies.

4.5 Relation to the literature

- It contributes to the literature on **bureaucratic incentives and state capacity** by focusing on senior bureaucrats with macro-level fiscal effects.
- It contributes to the literature on **social connections in organizations** by studying public-sector leaders rather than private-sector managers or lower-level civil servants.
- It also contributes to the historical literature on **patronage and empire** by quantifying costs that earlier work often described qualitatively.

5 Tables and figures

5.1 Figure 1: Territories administered by the Colonial Office

Read:

- The map shows the enormous geographic scope of the Colonial Office.
- This matters because it underscores why governors had wide discretion: London was far away, monitoring was costly, and the governor was often “the man on the spot.”

5.2 Table 1: Descriptive characteristics of governors and colonies

Read:

- Governors are senior, elite bureaucrats: average entry age is high, most previously served in the civil service or military, and many attended elite institutions.
- Trade taxes are a large share of revenue, making customs policy a natural place to look for performance differences.
- Salary variation is strongly related to colony size, which is why salary differences can be interpreted as assignment to more important positions.



FIGURE 1. TERRITORIES ADMINISTERED BY THE COLONIAL OFFICE, 1905

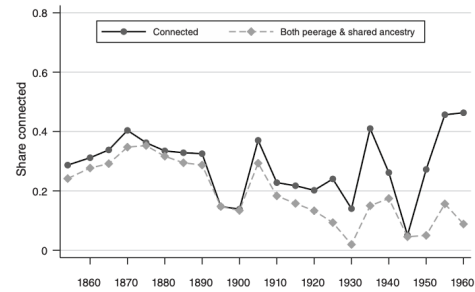


FIGURE 2. SHARE OF GOVERNORS CONNECTED TO THE SECRETARY OF STATE

Notes: Share of serving governors connected to the secretary of state for 1854–1966. Connectedness is defined as sharing common ancestors, both belonging to the aristocracy, having attended the same elite university (Oxford/Cambridge) or elite school (Eton).

5.3 Figure 2: Share of governors connected over time

Read:

- The combined share of connected governors is relatively stable over time.
- Family ties become less important, but schooling ties partly replace them.
- This is useful because the post-1930 disappearance of the patronage effect is not simply due to connectedness vanishing from the sample.

5.4 Figure 3 and Table 2: Salary premium of social connections

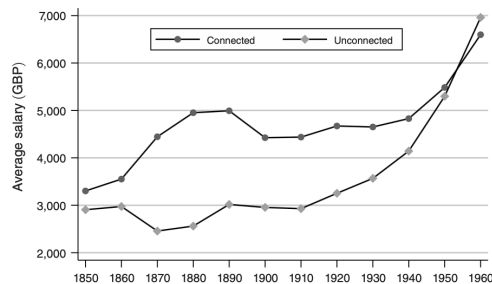


FIGURE 3. AVERAGE SALARY CONNECTED VERSUS UNCONNECTED OVER TIME

Note: Average annual governor salary (GBP) for connected and unconnected governors over time.

TABLE 2—GOVERNOR SALARY AND CONNECTEDNESS TO SECRETARY OF STATE

	log governor salary in GBP					
	(1)	(2)	(3)	(4)	(5)	(6)
Mean of dep. var.	7.929	7.929	7.929	7.929	7.929	7.929
No. colonies served	0.221 (0.035)	0.222 (0.035)	0.223 (0.035)	0.222 (0.035)	0.224 (0.035)	0.223 (0.035)
Shared ancestors	0.103 (0.047)				0.093 (0.046)	
Both aristocrats		0.215 (0.124)			0.176 (0.121)	
Both Eton			0.133 (0.077)		0.118 (0.081)	
Both Oxbridge				0.072 (0.047)	0.073 (0.045)	
Connected						0.097 (0.036)
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Governor FEs	Yes	Yes	Yes	Yes	Yes	Yes
Spell length FEs	Yes	Yes	Yes	Yes	Yes	Yes
Observations	3,510	3,510	3,510	3,510	3,510	3,510

Notes: Unit of observation is the governor-year. Sample period 1854–1966. Dependent variable is the (log) salary in GBP paid to a governorship in a given year. No. of colonies served is the number of colonies the governor has served in up to the given year. Connected is a dummy that is 1 if the governor and secretary of state share either common ancestry, are both aristocrats, both went to Eton, or both studied at Oxford or both at Cambridge. Spell length FEs are dummies for each year of the term. Robust standard errors in parentheses, clustered at the dyadic governor-secretary of state level.

Read:

- Figure 3 shows that connected governors earn more on average, especially before 1930.
- Table 2 formalizes this: the same governor earns more when connected.
- The baseline estimate is roughly a **10% salary premium** during the patronage era.
- The effect appears across different proxy measures of connectedness.

TABLE 3—TRANSFERS AND CONNECTEDNESS TO SECRETARY OF STATE

	log Governor salary (GBP)		Fixed colony characteristics		
			log initial revenue	Area in tropics	log distance London
	(1)	(2)	(3)	(4)	(5)
Mean of dep. var.	7.929	7.929	10.74	0.653	8.563
No. colonies served	0.223 (0.035)	0.035 (0.020)	0.737 (0.095)	−0.017 (0.025)	0.063 (0.029)
Connected	0.097 (0.036)	0.011 (0.018)	0.177 (0.099)	0.014 (0.029)	−0.019 (0.033)
Year FEs	Yes	Yes	Yes	Yes	Yes
Governor FEs	Yes	Yes	Yes	Yes	Yes
Colony FEs	—	Yes	—	—	—
Spell length FEs	Yes	Yes	Yes	Yes	Yes
Observations	3,510	3,510	3,510	3,510	3,510

Notes: Unit of observation is the governor-year. Sample period 1854–1966. Dependent variable is the (log) salary of a governorship. No. of colonies served is the number of colonies the governor has served in. Connected is a dummy that is 1 if the governor and secretary of state share either common ancestry, are both aristocrats, both went to Eton, both studied at Oxford or both at Cambridge. Spell length FEs are dummies for each year of the term. Robust standard errors in parentheses, clustered at the dyadic governor-secretary of state level.

5.5 Table 3: Transfers and connectedness

Read:

- Once colony fixed effects are added, the salary premium essentially disappears.
- Connected governors are instead more likely to be transferred to **larger, richer, higher-paid colonies**.
- There is little support for a compensating-differentials interpretation: the premium is not driven by tropical colonies or greater distance from London.

5.6 Table 4 and Figure 4: Warren Fisher Reform and the removal of patronage

TABLE 4—WARREN FISHER, 1930: REMOVAL OF PATRONAGE

	Governor salary					
	(1)	(2)	(3)	(4)	(5)	(6)
Mean of dep. var	7.929	7.929	7.929	7.929	7.929	7.986
Connected	0.097 (0.036)	0.127 (0.043)	0.205 (0.059)	0.129 (0.043)	0.091 (0.041)	0.172 (0.045)
Reform dummy × connected		−0.123 (0.056)	−0.222 (0.079)	−0.119 (0.058)	−0.138 (0.078)	−0.205 (0.056)
Connected + reform dummy × connected	—	0.004 (0.040)	−0.017 (0.041)	0.009 (0.048)	−0.046 (0.068)	−0.033 (0.038)
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Governor FEs	Yes	Yes	Yes	Yes	Yes	Yes
Spell length FEs	Yes	Yes	Yes	Yes	Yes	Yes
Time-varying controls	Yes	Yes	Yes	Yes	Yes	Yes
Connected × trend (centered 1930)	—	—	Yes	—	—	—
Connected × governor characteristics	—	—	—	Yes	—	—
Connected × colony characteristics	—	—	—	—	Yes	—
Sample			Full sample			Pre/post
Observations	3,510	3,510	3,510	3,510	3,510	2,429

Notes: Unit of observation is the governor-year. Sample period 1854–1966. Dependent variable is the (log) salary of a governorship. Connected is a dummy that is 1 if the governor and secretary of state share either common ancestry, are both aristocrats, both went to Eton, or both studied at Oxford or both at Cambridge. Reform dummy is a dummy that is 1 after 1930. Time-varying controls comprise the number of colonies the governor has served in. Governor characteristics are: dummies for previous career track prior to first governorship (civil servants, military, politician) and number of colonies served. Connected × trend interacts the connected dummy with a linear time trend centered around 1930. Connected × governor characteristics interacts all governor characteristics (centered around sample mean) with the connectedness dummy. Fixed colony characteristics are: (log) initial revenue of the colony, area (percent) of colony in the tropics, (log) distance to London and the first year the colony was administered by the Colonial Office. Connected × colony characteristics interacts all time-invariant colony characteristics (centered around sample mean) with the connectedness dummy. Spell length FEs are dummies for each year of the term. Columns 1–5 present results for the full sample. Column 6 constrains the sample to only colonies observed both before and after 1930. Robust standard errors in parentheses, clustered at the dyadic governor-secretary of state level.

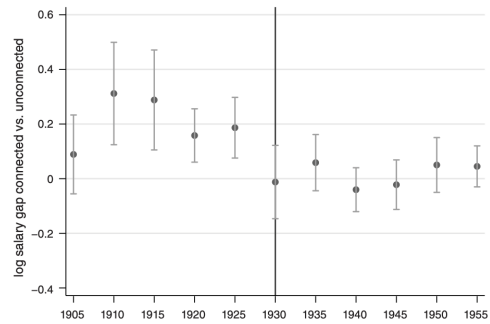


FIGURE 4. SALARY GAP AND THE REMOVAL OF PATRONAGE (Warren Fisher Reform, 1930)

Notes: Difference in (log) salaries for connected and unconnected governors around the Warren Fisher Reform 1930 (solid vertical line). The salary gaps are estimated with an extension of specification (3), where connectedness is allowed to vary by five-year bins. Reporting 90 percent confidence intervals.

Read:

- Before 1930, connected governors receive about **12.7%** higher salaries.
- After interacting connectedness with the post-1930 reform period, the post-reform gap is statistically indistinguishable from zero.

- Figure 4 makes this visually clear: the connection premium is positive before the reform and close to zero afterward.
- This is the core evidence that the mechanism really is discretionary patronage rather than a stable premium to elite background per se.

5.7 Table 5 and Figure 5: Fiscal performance and incentive effects

	Colony-level			
	Public review		Public expenditures	
	Overall		Trade	Internal
	(1)	(2)	(3)	(4)
<i>Panel A. Revenue</i>				
Mean of dep. var.	12.31	12.31	11.47	11.59
Connected	−0.040 (0.017)	−0.055 (0.021)	−0.053 (0.026)	−0.043 (0.032)
Connected × reform dummy		0.061 (0.033)		
Connected + connected × reform dummy	—	0.005 (0.026)	—	—
Year FEs	Yes	Yes	Yes	Yes
Governor-Colony FEs	Yes	Yes	Yes	Yes
Spell length FEs	Yes	Yes	Yes	Yes
Time-varying controls	Yes	Yes	Yes	Yes
Observations	3,510	3,510	2,670	2,657
<i>Panel B. Expenditure</i>				
Mean of dep. var.	12.33	12.37	9.015	10.32
Connected	−0.029 (0.019)	−0.042 (0.023)	−0.089 (0.053)	−0.107 (0.062)
Connected × reform dummy		0.053 (0.034)		
Connected + connected × reform dummy	—	0.010 (0.025)	—	—
Year FEs	Yes	Yes	Yes	Yes
Governor-colony FEs	Yes	Yes	Yes	Yes
Spell length FEs	Yes	Yes	Yes	Yes
Time-varying controls	Yes	Yes	Yes	Yes
Observations	3,510	3,510	1,742	2,588

Notes: Unit of observation is the governor-year. Sample period 1854–1966. The dependent variable in panel A is the (log) total revenue (column 1–2), trade (customs) revenue (column 3), and internal revenue (column 4). Panel B reports the overall expenditure (column 5–6), expenditures for tax/revenue services (column 7), and public works (column 8). Columns 2 and 6 interact connectedness with a reform dummy that is 1 after 1930. Connected is a dummy that is 1 if the governor is connected to the secretary of state. Time-varying controls comprise the number of colonies the governor has served in. Spell length FEs are dummies for each year of the term. Standard errors in parentheses, clustered at the dyadic governor-secretary of state level.

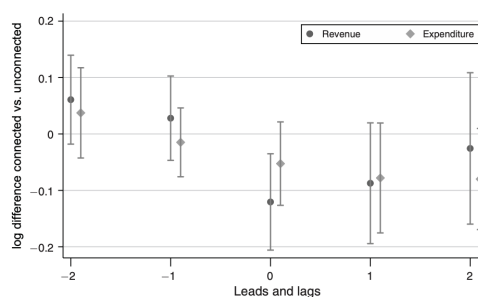


FIGURE 5. PERFORMANCE GAP AND CONNECTEDNESS (Event Study)

Notes: Difference in (log) revenue/expenditure for connected and unconnected governors with leads and lags. 0 marks the year the governor becomes connected. Reporting 90 percent confidence intervals.

Read:

- The same governor in the same colony raises about **4% less total revenue** when connected.
- The decline is concentrated in **customs revenue**; internal revenue is not precisely estimated.
- Connected governors also reduce spending on revenue services by about **8.9%** and on public works by about **10.7%**.
- Figure 5 shows no anticipatory pre-trend and a negative post-connection path for revenue and expenditure.

5.8 Table 6: Tax ordinances and customs exemptions

Read:

- Connected governors issue more ordinances overall, especially in tax and customs matters.
- The strongest policy result is that they are more likely to grant **import tariff exemptions** during the patronage period.

- This lines up closely with the fall in customs revenue and provides a concrete policy channel linking connections to weaker fiscal extraction.

TABLE 6—TAX ORDINANCES, EXEMPTIONS, AND CONNECTEDNESS TO SECRETARY OF STATE

	Legislation ordinances (1)	Broken down by ordinance type				
		Direct tax (2)	Customs (3)	Exemptions (4)	Social (5)	Works (6)
Mean of dep. var.	0.020	0.0105	0.0140	0.226	0.012	0.00698
Connected	0.085 (0.037)	0.048 (0.031)	0.068 (0.031)	0.202 (0.063)	0.004 (0.027)	−0.011 (0.019)
Connected × Reform dummy	−0.083 (0.037)	−0.051 (0.032)	−0.066 (0.031)	−0.369 (0.137)	−0.003 (0.029)	0.013 (0.019)
Connected + Connected × Reform dummy	0.001 (0.005)	−0.003 (0.004)	0.002 (0.004)	−0.167 (0.125)	0.001 (0.005)	0.002 (0.003)
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Governor-Colony FEs	Yes	Yes	Yes	Yes	Yes	Yes
Spell length FEs	Yes	Yes	Yes	Yes	Yes	Yes
Time-varying controls	Yes	Yes	Yes	Yes	Yes	Yes
Data source	National Archives		Blue Book		N. Arch.	
Observations	573	573	573	405	573	573

Notes: Unit of observation is the governor-year. The sample is restricted to the “switchers” of serving governors who experience a change in connections within the position. In column 1, the dependent variable is the number of ordinances issued, as recorded by the National Archive catalogue. Columns 2–6 provide more detailed breakdowns. This is broken down by topic of the ordinances: tax related (column 2), customs related (column 3), social services (education, health, welfare) (column 5), public works related (column 6). Column 4 is a dummy that is 1 if an exemption was added to the import tariff schedule. Connected is a dummy that is 1 if the governor is connected to the secretary of state. Reform dummy is a dummy that is 1 after 1930. Time-varying controls comprise the number of colonies the governor has served in. Spell length FEs are dummies for each year of the term. Robust standard errors in parentheses, clustered at the dyadic governor-secretary of state level.

TABLE 7—ALTERNATIVE PERFORMANCE MEASURES AND CONNECTEDNESS

	Social unrest (1)	Parliamentary debates		Highest award (4)
		Mentioned (2)	Sentiment (3)	
Mean of dep. var.	0.049	0.724	0.097	0.021
Connected	0.038 (0.022)	0.029 (0.028)	−0.045 (0.024)	−0.031 (0.015)
Connected × reform dummy	−0.037 (0.022)	−0.040 (0.031)	0.039 (0.029)	−0.007 (0.028)
Connected + connected × reform dummy	0.001 (0.002)	−0.010 (0.015)	−0.006 (0.016)	−0.037 (0.024)
Year FE	Yes	Yes	Yes	Yes
Governor-colony FEs	Yes	Yes	Yes	Yes
Spell length FEs	Yes	Yes	Yes	Yes
Time-varying controls	Yes	Yes	Yes	Yes
Data source	News	Hansard	Who’s Who	
Observations	3,510	3,510	2,481	3,510

Notes: Unit of observation is the governor/state-year. Sample period 1854–1966. Dependent variables are a dummy for reported unrests in London newspapers (column 1), whether a colony has been mentioned in the parliamentary debates (column 2), the mean sentiment in the debates (column 3), and a dummy for being awarded a GCMG/GCB, the highest distinction class (column 4). Connected is a dummy that is 1 if the governor is connected to the secretary of state. Reform dummy is a dummy that is 1 after 1930. Robust standard errors in parentheses, clustered at the dyadic governor-secretary of state level.

5.9 Table 7: Alternative performance measures

Read:

- Colonies governed by connected officials are more likely to have **reported social unrest**.
- Parliamentary debates about those colonies are **more negative in sentiment**.
- Connected governors are less likely to receive the highest public award, with an effect of about **3.1 percentage points** relative to a mean of roughly **2%**.
- These alternative outcomes reinforce the interpretation that patronage weakens performance rather than simply changing the mix of fiscal choices.

6 Short summary

- **Method.** Use within-governor changes in social connectedness to the secretary of state, and interact them with the 1930 abolition of patronage appointments.
- **Identification.** Secretary turnover gives plausibly exogenous shocks to connectedness; governor and governor-colony fixed effects isolate promotion and incentive margins.
- **Application.** British colonial governors, 1854–1966, using newly digitized personnel, biographical, genealogical, and public finance records.
- **Main result.** During the patronage era, connected governors are promoted to better-paid colonies but perform worse once in office; both patterns disappear after the Warren Fisher Reform.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

- Patronage affected both the **allocation** and the **incentives** of colonial governors.
- Socially connected governors were more likely to receive desirable promotions during the discretionary appointment era.
- Once appointed, these connected governors performed worse on fiscal and broader performance measures.
- The removal of discretionary patronage in 1930 sharply weakened these patterns.

7.2 Economic intuition

The paper's economic logic is straightforward. If a governor expects that advancement depends more on personal ties than on measured performance, then the marginal value of effort falls. At the same time, superiors can use discretion to place connected subordinates into valuable jobs. Patronage therefore distorts both **who gets promoted** and **how hard they work after promotion**.

7.3 Takeaway

This paper gives a clean empirical demonstration that patronage can reduce state capacity through a dual channel: **favoritism in promotion** and **weaker incentives in office**. The broader lesson is that building a modern bureaucracy is not only about hiring rules; it is also about limiting discretionary promotion systems that reward social ties over performance.